

recent history into the future. Ironically, that's exactly what trend following is based on, but at the same time it tends to lead to poor investment allocation decisions.

There have been multiple studies on the classic timing mistake made by investors, in that they often allocate money to strategies after they performed well and pull the money out when they have performed poorly. Even a vast amount of professional investors fall into this particularly dangerous trap. The reality is that every strategy, no matter how good it is in the long run, has strong and weak periods of performance. Despite this obvious fact, most people tend to invest in a strategy after it just had a few really strong years, and once it has a long streak they pull the money back. The strategy as such may have shown gain, but despite this it is entirely possible that a new dollar amount was lost. This is an investment paradox which we see all the time in the hedge fund business.

Even though trend following as such is based on following recent price trends, it makes sense to invest in trend following after a bad run, not after a great one. A case in point here is the relatively mediocre performance of trend following from 2015 to 2019. During these years the strategy was declared dead more times than Mark Twain, and few people wanted to even hear about it. But then, in 2020, the strategy came back strong, followed by an even stronger 2021. For practical reasons, I set the end of 2021 as the cut-off date for analysis for this book, but as of writing this in July of 2022, we're seeing yet another very strong year.

Table 5.1 shows the monthly performance, which is usually an easier way to get a feel for a strategy or fund's long-term performance than a graph. I would suggest that you take a moment to study this table, and that you do the same with your own backtests and strategies. The monthly frequency does hide some of the action, but you get the general idea. Take 2020, for instance, where we ended the year at +24%. Sounds like a great year! But then you see that we started with -14% in January. That's a serious setback and you need to ask yourself if you can really handle such moves. If you can't, and there's nothing wrong with that, you need to dial down the risk.

■ Crisis Alpha

A much-touted aspect of trend following is the so-called crisis alpha effect, the tendency of the strategy to perform well when traditional markets do not. This is arguably the most important feature of a strategy such as trend